

Before Krauch came to work for Goering, Loeb estimated "peacetime rubber requirements" at 50 tons per month. In February 1936, Krauch, going over Loeb's head, pushed through a Farben contract for 200 tons per month.

Four months later Krauch was promoted to his Four Year Plan job. There was some interim confusion as to who could order production. But Krauch held a conference in his office, with ter Meer, another member of the Technical Committee named Kuehne, and representatives of the Air Ministry and the Army Ordnance Office. Here, at last, he and ter Meer were caught without the Ministry of Economics!

X At this conference all agreed to lobby to increase the 200 tons to 1000 tons per month.

This was the first of many meetings, to which General Loeb was not invited. A high officer in the Army Ordnance, Colonel Phillipps, refused to come. The Army and Air representatives were not unanimous in accepting the increase but the most influential officers present were persuaded by Krauch, Kuehne and ter Meer. The increase to 1000 tons per month was pushed through the Ministry of Economics.

Soon Farben was producing double the 1000 tons it had contracted for. That was the most its only plant could produce. Krauch then renewed the drive to have a second buna plant constructed, which would produce another 2000 tons every month. He wanted to finance the second plant by a loan from the Reichsbank, but the loan needed the approval of his old friend Hjalmar Schacht. Schacht had reluctantly stayed ^{on} in the Hitler Government as Finance Minister. He turned the loan down.

ter Meer's response was another plan, to finance the second plant by a "custom duty." Neither Schacht nor General Loeb would approve this. General Loeb still outranked Krauch on Army-production. Krauch went straight to Goering, who approved the building of the second